

Module 14

Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

S.16B of the Inland Revenue Ordinance ("IRO") provides for tax deduction for expenditure relating to Research and Development ("R&D") activity even though it may be capital in nature.

Enhanced tax deduction is available for Type B expenditure incurred on domestic R&D, with the first HK\$2 million spent on a qualifying R&D activity enjoying a 300% deduction and expenditure beyond enjoying 200% deduction.

Type B expenditure eligible for enhanced tax deduction must be from qualifying R&D activity defined under s.4(1) of Schedule 45 of the IRO to include R&D activity that:

- falls under the description in ss.2(a), (c) or (d) of Schedule 45 of the IRO; and
- is wholly undertaken and carried on in Hong Kong.

In this case, the R&D activity of Operation Limited is more likely to fall under s.2(d) of Schedule 45:

"the application of research findings or other knowledge to a plan or design for producing or introducing new or substantially improved materials, devices, products, processes, system or services before they are commercially produced or used."

As the above R&D activity is conducted by Operation Limited's R&D team based in Hong Kong inside the laboratory at Hong Kong Science and Technology Park, Operation Limited is undertaking a qualifying R&D activity.

Type B expenditure as defined in s.10(1) of Schedule 45 of the IRO includes a "qualifying expenditure related to the trade, profession or business". This term is further defined in s.12(1) of Schedule 45 of the IRO to include an expenditure in relation to an employee who is engaged directly and actively in a qualifying R&D activity related to the trade, profession or business. Such expenditure includes salary and wages, as provided in s.12(5) of Schedule 45 of the IRO.

As the R&D team are employees of Operation Limited, which carries on a qualifying R&D activity, it follows that their salaries of HK\$12,000,000 are Type B expenditure eligible for enhanced tax deduction.

Answer 1(b)

S.14(1) of the IRO specifically excludes profits arising from sale of capital assets from being chargeable to profits tax.

If the patent right is a capital asset, the proceeds from sale is capital in nature and not subject to profits tax. Otherwise, the proceeds is from sale of revenue asset derived from the ordinary course of business and is subject to profits tax.

The question of whether an asset is capital or revenue depends on the circumstances of each case. In general, capital comprises those assets that are used in the production of profits or that are held otherwise than as the stock-in-trade of the taxpayer.

The following information from the case can support the capital nature of the disposal proceeds:

- All patent rights are long-lasting and held for long-term investment, not for resale.
- Ongoing royalty income is generated from the exploitation of patent rights.
- The disposal was under exceptional circumstances not envisaged, and there is no information that indicates the disposal was driven by the profit therefrom.

On the other hand, since Type B expenditure enhanced tax deduction under s.16B was previously claimed, under s.17 of Schedule 45 of the IRO the non-taxable disposal proceed is deemed as a taxable trading receipt.

The deemed taxable amount is the lesser of the total amount of deductions allowed under s.16B of the IRO and the disposal proceeds, accruing to Operation Limited at the time of completion of the patent right disposal.

Answer 1(c)

Operation Limited
Profits Tax Computation 2023/24
Year Ended 31 December 2023

	HK\$
Profit before tax	70,000,000
Add: Salaries of R&D team	12,000,000
Adjusted profit before tax	82,000,000
Add: Accounting depreciation	10,000,000
Type B expenditure enhanced tax deduction previously claimed (Note 1)	8,000,000
Less: Proceeds from disposal of a patent right	(53,000,000)
Type B expenditure enhanced tax deduction (Note 2)	(26,000,000)
Tax depreciation allowance	(9,000,000)
Assessable profits for 2023/24	<u>12,000,000</u>

Note 1: $\text{HK\$}2\text{m} \times 300\% + (\text{HK\$}3\text{m} - \text{HK\$}2\text{m}) \times 200\% = \text{HK\$}8\text{m}.$

Note 2: $\text{HK\$}2\text{m} \times 300\% + (\text{HK\$}12\text{m} - \text{HK\$}2\text{m}) \times 200\% = \text{HK\$}26\text{m}.$

As there is no tax treaty between Hong Kong and Country S, the withholding tax deducted from the royalty income received from payers in Country S is not creditable against profits tax under s.50 of the IRO.

Under s.16(1) of the IRO, expense is deductible to the extent that it is incurred in the production of chargeable profits.

As the withholding tax was incurred wholly in the production of the royalty income taxable under s.15(1)(bc) of the IRO, the expense satisfies the general condition for tax deduction.

Specifically, s.16(1)(ca) of the IRO is a unilateral relief from double taxation that provides for deduction of foreign tax paid outside Hong Kong in respect of profit chargeable to profits tax, if the tax is of substantially the same nature as profits tax and it is charged on a certain percentage of income without deduction for outgoing and expenses. The withholding tax in question satisfies these conditions.

The above deduction is not denied under s.16(2J) of the IRO as there is no tax treaty between Country S and Hong Kong, and the withholding tax is not creditable against profits tax under s.50 of the IRO.

Answer 2(a)

The following table summarises the business assets that will be transferred from Operation Limited to Origin (HK) Limited under Option 1 and the related tax implications:

Licensing contracts (unexpired)	The amount of disposal gain will depend on valuation of these contracts. Since these are short-term contracts with 3rd parties presumably agreed on commercial terms, significant valuation gain or loss is not expected unless there are substantial changes in market conditions after execution. In case gains/ losses are attributable to the transfer of these short-term contracts, it is more likely than not that they are revenue in nature and taxable/ deductible on the basis that these contracts are short-term and recurring from time to time in the normal course of business. No stamp duty implications as the transfer does not involve immovable property, Hong Kong stock and Hong Kong bearer instruments.
Fixed assets (for R&D activity)	Disposal gain (less likely) is capital in nature and non-taxable, subject to the following adjustment. If the relevant capital expenditure was previously allowed under s.16B of the IRO, the allocated disposal proceed will be deemed as a taxable trading receipt to the extent that it is not chargeable under profits tax, and the deemed taxable amount is capped at the total amount of deduction previously allowed under s.16B of the IRO.
Fixed assets (for non-R&D activity)	Disposal gain (less likely) is capital in nature and non-taxable, subject to the following adjustment.

Balancing allowance/ charge will arise being the difference of allocated disposal proceeds and tax written down value. They are deductible/ taxable in the year of disposal, with any taxable amount capped at the tax depreciation allowance previously allowed.

Apparently, Operation Limited does not own any immovable properties and, hence, has no stamp duty implications.

Employment contracts Employment transfer likely would not attract any gain to the transferor. In case inducement or compensation is paid to employees to ensure a smooth transfer, such expenses may be capital in nature as they will produce an enduring benefit.

In case severance payments are paid to staff upon transfer of employment, they are deductible as the obligation to make such payment had been incurred by the taxpayer as a necessary condition of retaining the service of its employee – CIR v Cosmotron Manufacturing Company Limited (1997) HKRC.

There are employer's notification and reporting obligations in terms of cessation and commencement of an employee's employment.

Other business service contracts (non-revenue generating) Business service contract transfer likely would not attract any gain to the transferor.

In case inducement or compensation is paid to contractors to ensure a smooth transfer, such expenses may be non-deductible being capital in nature if they produce an enduring benefit to the transferor, or not incurred in the production of chargeable profit as they are paid in connection with the cessation of business.

Answer 2(b)

From the due diligence exercise it was revealed that annual commercial building allowance of HK\$400,000 was claimed by Property Limited.

If this tax depreciation claim is allowed by the Inland Revenue Department ("IRD"), the residue value of the residential unit will be lower than the qualifying capital expenditure.

The disposal of the unit at market value which is well above the purchase cost will result in balancing charge – a taxable item to Property Limited in the year of disposal with the amount capped at the total annual commercial building allowances previously claimed.

If Property Limited does not have tax loss or deductible expense to shelter the balancing charge, Property Limited may have profits tax liability in the year of disposal.

However, as Property Limited only earns minimal amount of taxable rental income of HK\$100 annually, with the annual commercial building allowance of HK\$400,000, Property Limited likely will have accumulated tax losses if this tax position has been sustained in the past for many years, assuming the company has no other taxable business income or gains.

Taking this into account, the occurrence of the above tax liability seems unlikely.

Answer 2(c)

The subject matter being disposed of is unlisted share in a Hong Kong company, the purchase of which was likely effected in Hong Kong (as indicated by the location where the series A funding was arranged).

Based on the IRD's guidance from the Departmental Interpretation and Practice Notes ("DIPN") No. 21 (Revised), the disposal gain is likely onshore as either the purchase or sale transaction is effected in Hong Kong.

Following the above, the onshore equity interest disposal gain ("the Gain") may be subject to profits tax and taxable if it is revenue in nature, or non-taxable if it is capital in nature as profits tax is not charged on capital gains.

In analysing the revenue vs capital nature of the Gain, apart from the traditional "badges of trade" analysis, the outcome of which can be less deterministic, the Tax Certainty Enhancement Scheme ("the Scheme") introduced on 15 December 2023 provides greater upfront certainty of non-taxation of onshore disposal gains that are capital in nature.

Under the Scheme, the Gain would be regarded as capital in nature and non-taxable if the following eligibility criteria are met:

- The investor entity must be an eligible investor entity. This criterion is met as Investment Limited is a legal person and not an insurer (no information indicated otherwise).
- The subject matter disposed of must be an eligible equity interest in an eligible investee entity. This criterion is met as the subject matter disposed of is ordinary share in a non-listed company that is held for long-term investment purposes (i.e. not trading stock), and the investee entity A-Co is not engaging in property-related business.
- The equity holding conditions are met. This criterion is met as Investment Limited has directly held more than 15% shareholding in A-Co for over 24 months.

As all the eligibility criteria are met, the Gain would be regarded as capital in nature and non-taxable.

Investment Limited must elect in writing by providing the requisite information in its profits tax return before it can apply the Scheme.

Answer 3(a)

Based on the finding from the due diligence exercise, the following tax risks are prominent:

- Operation Limited – Its entitlement to "Type B expenditure" enhanced deduction claim has not been reviewed and confirmed by the IRD.
- Operation Limited – The capital nature of the patent right disposal gains of HK\$53 million and hence the non-taxable claim has not been reviewed and confirmed by the IRD.
- Operation Limited – The exact nature of the withholding tax paid in Country S of HK\$5 million and hence the tax deduction claim has not been reviewed and confirmed by the IRD.
- Property Limited – The nominal rent of HK\$100 for lease of the staff quarters that is worth HK\$100 million to Operation Limited is clearly non-arm's length.

In case a review is conducted by the IRD after acquisition that reveals the above claims are invalid and the transfer price is incorrect, or the companies are unable to substantiate their claims due to poor records or lack of contemporaneous transfer pricing documentation, the IRD can make tax adjustments to reduce any deduction overclaimed or assess the profit undercharged.

The above tax adjustments can be made and additional assessments issued anytime within 6 years after the end of the relevant year of assessment. In the event that the IRD's review indicates any incorrect tax returns were filed, the IRD can impose penalty up to 3 times of the tax undercharged.

The above back duty and penalty exposures will stay with the Genesis Group's companies after the change in ultimate beneficial owner from Wang to Peter. If these exposures crystallise into tax liabilities and penalties, they will reduce the group's economic value.

Answer 3(b)

Being a Chinese national permanently residing in Shenzhen, Wang is likely domiciled in Chinese Mainland and is hence a Chinese tax resident for Chinese Individual Income Tax ("IIT") purposes.

With the above identity, Wang's worldwide income is subject to IIT under Article 1 of the Chinese IIT Law ("2018 IIT Law").

Article 2 of the 2018 IIT Law provides for the 9 income schedules that prescribe the income that is assessable. Wang's dividend income from his wholly owned BVI subsidiary Genesis International Limited will fall under the 6th schedule, which covers interest, dividend income and profit-sharing, and is hence taxable.

The applicable tax rate is 20% flat prescribed under Article 3 of the 2018 IIT Laws.

Wang should report the above taxable income in his IIT filing between 1 March and 30 June of the following tax year under Article 13 of the 2018 IIT Law.

Answer 4(a)

The following table sets out the Hong Kong stamp duties payable under each option:

Dutiable item	Tax base HK\$	Option 1 HK\$	Option 2 HK\$
Residential units @4.25% + HK\$100	100,000,000	4,250,100	-
Share in A-Co @0.2% + HK\$5	50,000,000	100,005	-
Share in Genesis (HK) Ltd @0.2% + HK\$5	400,000,000	-	800,005
Total		4,350,105	800,005

The current form of Option 2 involves the transfer of share in Genesis (HK) Limited, which is a Hong Kong share the transfer of which attracts stamp duty at 0.2%.

If the disposal happens at one corporate level up (i.e. at Genesis International Limited), it will give the same economic effect to both parties, but the subject of the transfer is overseas company shares, the transfer of which is not subject to stamp duty. A further stamp duty saving of HK\$800,005 can be achieved.

Advantages from acquisition via Option 1:

- The costs of business assets acquired by the new owner/ operator Origin (HK) Limited ("Origin") are step-up at market value in the financial statements. This will reduce the future capital gains to Origin if these assets are disposed and the gains are taxable.
- Historical tax risks (like transfer pricing in this case) hidden in the transferor's operation are not carried over to Origin, and the same is true with the back duty and penalty exposures. However, Origin should bear in mind the implications under the Transfer of Business (Protection of Creditors) Ordinance ("TBO"), where Origin may be liable to the historical tax liabilities and related penalties unless notice of transfer is given and published in Hong Kong in accordance with the TBO requirements.
- Tax residue value for the residential unit will be restated up to the amount of qualifying capital expenditure by way of balancing charge suffered by the transferor. This will increase the total commercial building allowance available to set off future taxable rental income by Origin.
- If the patent rights qualify for specified intellectual property rights under s.16E and 16EA of the IRO, allowance of the acquisition costs incurred by Origin may be available.

Answer 4(b)

The HKICPA Code of Ethics provides guidance to accountants working in tax practice. The following are particularly relevant in the forthcoming discussion with the engagement partner:

- We should ensure Peter is aware of the limitations of tax advice and services so that he does not interpret the tax advice as assertion of fact, but rather expression of opinion. We should make Peter understand that our tax advice is not beyond challenge, and we should be prepared to support any position that may be in doubt;
- All tax advice or opinions on material consequences given to Peter should be recorded and filed;
- It is generally acceptable for us to rely on information provided by Peter if the information appears reasonable, though we should request supporting evidence, documentation, or data where appropriate;
- Wang will take up the responsibility to deal with the issues and pay the tax and penalty;
- We should put forward the best position in favour of Peter, provided that it does not impair our standard of integrity; and
- We should keep all information confidential especially for research material not yet protected by a patent.

* * * END OF SECTION A * * *

SECTION B – ESSAY/ SHORT QUESTIONS (Total: 50 marks)

Answer 5

S.9(1)(d) of the IRO defines income from employment to include any gain realised by the exercise of, or by the assignment or release of, a right to acquire shares or stock in a corporation obtained by a person as an employee of that or any other corporation.

S.9(4)(a) provides that, for the purpose of s.9(1)(d), the gain realised by the exercise at any time of such a right shall be taken to be the difference between the amount which a person might reasonably expect to obtain from a sale in the open market at that time of the shares or stock acquired and the amount or value of the consideration given whether for them or for the grant of the right or for both.

S.9(4)(b) provides that, for the purpose of s.9(1)(d), the gain realised by the assignment or release of such a right shall be taken to be the difference between the amount or value of the consideration for the assignment or release and the amount or value of the consideration given for the grant of the right.

Tranche A

According to paragraphs 41 and 42 of DIPN No. 38 (Revised), if during any year of assessment included in the vesting period, David rendered services in Hong Kong during visits exceeding 60 days, all the gain from the exercise of the option would be chargeable to salaries tax. However, if during each such years David's visits did not exceed a total of 60 days, ss.8(1A)(b)(ii) and (1B) would apply and no part of the gain would be treated as chargeable.

David's employment with FYL is a Hong Kong employment. Vesting period of Tranche A covered the years of assessment 2020/21 to 2022/2023. As David stayed and rendered services in Hong Kong for more than 60 days in the years of assessment 2021/22 and 22/23, the share option gains of Tranche A are fully assessable to salaries tax.

As at 31 May 2022, Tranche A of 40,000 share options have vested on David. As David exercised the share options on 15 June 2022, the notional gain derived by him on that date in the amount of HK\$435,000 [40,000 x (HK\$13 – HK\$2) – HK\$5,000] would be chargeable to salaries tax under s.9(1)(d) and s.9(4)(a) of the IRO in the year of assessment 2022/23.

Tranche B

The mere granting of the shares option would not be chargeable to salaries tax to David.

The assignment gains of HK\$50,000 received by David for assigning 1/2 shares of Tranche B (i.e. 5,000 shares) on 15 December 2022 would be assessable to salaries tax under s.9(1)(d) and s.9(4)(b) of the IRO in the year of assessment 2022/23.

Likewise, the gain of HK\$60,000 received by David on 15 May 2023 from the release of the remaining 1/2 share in respect of Tranche B (i.e. 5,000 shares) would be assessable to salaries tax under s.9(1)(d) and s.9(4)(b) of the IRO in the year of assessment 2023/24.

Tranche C

The gain computed under s.9(4)(a) is a notional gain, thus s.11D cannot apply in relation to it. Notwithstanding the cessation of David's employment on 31 January 2024, the notional gain is to be assessed in the year of exercise (i.e. year of assessment 2024/25) (para. 38 of DIPN. 38 (Revised) as affirmed by CFI judgment on CIR v. Sawhney, Subhash Chander, HCIA 1/2006).

As David exercised the share option of Tranche C on 15 April 2024, the notional gain derived by him on that date in the amount of HK\$162,000 [$15,000 \times (\text{HK\$}13.8 - \text{HK\$}3)$] would be chargeable to salaries tax under s.9(1)(d) and s.9(4)(a) of the IRO in the year of assessment 2024/25.

Answer 6(a)(i)

Item (iii)

As Mr Au was required to submit stamped tenancy agreement and rental receipts to claim a stated percentage of rental reimbursement, H Limited has exercised proper supervision over the reimbursement of the rent paid by Mr Au to the landlord. The IRD will accept such arrangement as if H Limited directly providing a place of residence to Mr Au, and the relevant amount was a refund of rent within the meaning of the IRO.

By virtue of s.9(1A)(a), rental refund of HK\$252,000 ($\text{HK\$}21,000 \times 12$) he received is deemed not to be income.

By virtue of s.9(1A)(c), the place of residence is deemed to be provided by H Limited for a rent equal to HK\$108,000 ($\text{HK\$}(30,000 - 21,000) \times 12$), being the difference between the rent paid by Mr Au and the rent refund by H Limited.

S.9(2) provides that the rental value of any place of residence provided by the employer shall be deemed to be 10% of the income as described in s.9(1)(a) for the period during which a place of residence is provided after deducting the outgoings and expenses.

Pursuant to s.9(1)(c), the rent of HK\$108,000 is deducted from the rental value to arrive at the excess to be included in Mr Au's assessable income for the year of assessment 2023/24 and the computation is as follows:

	HK\$
Rental value $\text{HK\$}(1,800,000 + 200,000 - 2,300) \times 10\%$	199,770
Less: Rent suffered $\text{HK\$}(30,000 - 21,000) \times 12$	(108,000)
Rental value to be assessed	<u>91,770</u>

Answer 6(a)(ii)

Item (iv)

S.9(1)(a) defines income from employment to include any wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite or allowance.

It is a well-established principle in *David Hardy Glynn v CIR* [1990] 3 HKTC 245 that a perquisite includes money paid to an employee by an employer and money expended by an employer in discharge of a debt of an employee.

Based on available information, the reimbursement of dining expenses was not paid by H Limited in discharge of Mr Au's personal liability. As the expenses were not incurred for private purposes, reimbursement of dining expenses totaling HK\$9,000 would not be chargeable to salaries tax and is not regarded as Mr Au's income from employment. (para. 33 of DIPN No. 16 (Revised)).

Answer 6(b)

Mr Au
Salaries Tax computation
Year of Assessment 2023/24

	HK\$
Salaries (HK\$150,000 x 12)	1,800,000
Bonus	200,000
Add: Rental value [from Q6(a)(i)]	91,770
Assessable income	2,091,770
Less: Annual membership fee	(2,300)
Net assessable income	2,089,470
Less: Mandatory Provident fund contributions	(18,000)
Net income	2,071,470
Less: Married person's allowance	(264,000)
Child allowance	(130,000)
Child allowance – born in the year	(130,000)
Net chargeable income	1,547,470
Tax at progressive rate	245,069
Less: Tax reduction	(3,000)
Tax payable (Note 1)	242,069

Year of Assessment 2024/25 (Provisional)

Net chargeable income	1,547,470
Tax payable at progressive rate (Note 2)	245,069

Note 1

Tax payable at standard rate is higher and not applicable, i.e. HK\$2,071,470 x 15% - HK\$3,000

307,720

Note 2

Tax payable at standard rate is higher and not applicable, i.e. HK\$2,071,470 x 15%

310,720

Answer 7

[Letterhead of the firm]

[date]

Mr Tam

[address]

Re: Tax advisory on your entitlement to allowance under Salaries Tax for the year of assessment 2023/24

Dear Mr Tam,

We refer to your request for tax advisory on the deductibility of Dependent Brother or Dependent Sister Allowance ("DBSA") and Disabled Dependent Allowance ("DDA") in respect of Rebecca, your sister, under salaries tax for the year of assessment 2023/24.

First, we would like to set out our advice on DBSA in respect of Rebecca.

(a) DBSA

Under s.30B(1)(c) of the IRO, DBSA shall be granted in any year of assessment if a person maintains an unmarried sister in the year of assessment and the person so maintained at any time in the year of assessment was of or over the age of 18 years and was, by reason of physical or mental disability, incapacitated for work.

S.30B(3)(a) further provides that a sister of the person is only treated as maintained by the person if, at any time during the year, the person had sole or predominant care of the sister.

In a recent Board of Review Decision *D23/22* (2022-23) 37 IRBRD, the Board of Review held that the term "unmarried" in s.30B(1) should be read as meaning "never having been married".

Rebecca was married in 1997 and divorced in 2000. Following *D23/22*, Rebecca was not "never having been married" during the year of assessment 2023/24. She thus could not be regarded as an "unmarried" sister of Mr Tam under s.30B(1).

In addition, you must prove that you had sole or predominant care of Rebecca. This is a question of fact and degree.

In the case of *Sit Kwok Keung v Commissioner of Inland Revenue* [2002] 5 HKTC 647, the Court of First Instance endorsed the view of the Board of Review ("the Board") that the concept of "predominant care" involved a comparison of the respective roles played by different parties. The Court found support of this view from the dictionary meaning of the word "predominant", i.e. "having supremacy or ascendancy over others; predominating" or "constituting the main or strongest element; prevailing".

In the Board Decision *D10/11* (2011-12) 26 IRBRD 207, the Board applied the interpretation of the word "predominant" in the *Sit Kwok Keung* case and held that "predominant care" was more than general concern, help, care and money contributions from family members.

We understand that you talked to Rebecca on the phone to care about her and financially support her. However, the fact is that you lived in Hong Kong whilst Rebecca lived in Taiwan during the relevant year of assessment. You also disclosed that you visited her for around 5 days only in each year. Given the distance between you and Rebecca, Rebecca's daily needs and living could only be taken care of by her parents. As such, on the authorities cited above, unless you can show that the amount of predominant care provided by you towards Rebecca should have supremacy or ascendancy over others and it should be the strongest prevailing one, you would not be considered to have sole or predominant care of Rebecca.

In the circumstances, you would not be granted DBSA in respect of Rebecca under s.30B of the IRO for the year of assessment 2023/24.

(b) DDA

We then turn to advise whether you would be granted DDA in respect of Rebecca.

S.31A(1) of the IRO provides that DDA shall be granted in any year of assessment to a person in respect of every dependent of his or hers who is eligible to claim an allowance under the Government's Disability Allowance Scheme ("DAS"). S.31A(4)(e) defines that dependent, in relation to a person, means a brother or sister for whom the person is entitled to be granted an allowance under s.30B for the year of assessment.

As we have concluded that you were not entitled to be granted DBSA in respect of Rebecca under s.30B of the IRO for the year of assessment 2023/24, it follows that Rebecca was not a dependent of you for the relevant year of assessment.

We hope the above information is of useful to you. If you have any questions, please feel free to contact us.

Yours faithfully,

Janet Chan
[position]

Answer 8(a)

S.40AG of the IRO provides that an amalgamating company in a qualifying amalgamation is treated as having ceased to carry on its trade, profession or business on the day immediately before the date of amalgamation.

According to para. 12 of DIPN No. 63, by virtue of s.51(6), Company B has to inform the Commissioner of Inland Revenue ("CIR") in writing within one month of the cessation of Company A. However, if Company B has given a notice to the CIR under s.40AM within 1 month after the date of amalgamation, no separate notice under s.51(6) is required.

S.40AL provides that the amalgamated company in a qualifying amalgamation must furnish a return for profits tax for each of the amalgamating companies for its year of cessation.

Company B, as an amalgamated company, must furnish a Profits Tax return for Company A to report Company A's adjusted loss for the period from 1 April to 30 June 2023.

Answer 8(b)

According to para. 17 and 18 of DIPN No. 63, any unabsorbed loss of the amalgamating company will lapse on the amalgamation and cannot be used to set off against the assessable profits of the amalgamated company, unless an election for special tax treatment is made under s.40AM(1).

If Company B made an election under s.40AM(1), special tax treatment provided in Schedule 17J will apply, including the treatment of pre-amalgamation losses of Company A.

S.24 of Schedule 17J allows certain pre-amalgamation loss of an amalgamating company to be used to set off against the assessable profits of the amalgamated company, subject to the following conditions:

- same trade condition;
- the CIR's satisfaction condition; and
- post entry condition.

S.24(6) of Schedule 17J defines qualifying loss, in relation to an amalgamating company and the amalgamated company in a qualifying amalgamation, as meaning such part of a pre-amalgamation loss of the amalgamating company that was incurred at any time after the amalgamating company and the amalgamated company entered into a qualifying relationship.

Same trade condition

S.24(4) of Schedule 17J provides that any qualifying loss of an amalgamating company could only be used to set off against the assessable profits of the amalgamated company derived from the same trade, profession or business that was carried on by the amalgamating company immediately before the amalgamation and is succeeded by the amalgamated company.

According to the judgment of Walton J in *Rolls-Royce Motors Ltd v Bamford* [1976] STC 162, whether two businesses are the same is a matter of fact.

Since Company A and Company B sold the same products, the same trade test would be accepted as having been met if there were no significant differences in their mode of operations. Sales to customers in Europe after the amalgamation would be treated as an expanded part of the business of Company A as a result of its organic growth. Any qualifying loss of Company A could be used to set off against the assessable profits of Company B after the amalgamation.

CIR's satisfaction condition

S.24(5) of Schedule 17J provides that unless the CIR is satisfied that there are good commercial reasons for carrying out the qualifying amalgamation, and avoidance of tax is not the main purpose or one of the main purposes of carrying out the qualifying amalgamation, no pre-amalgamation loss of the amalgamating company can be used to set off against the assessable profits of the amalgamated company.

According to para. 66 of DIPN No. 63, if tax benefit is only an incidental consequence of the qualifying amalgamation, the obtaining of tax benefit would not be considered a main purpose.

The main reason for the amalgamation of Company A and Company B is to maximise profits through synergy of operational efficiency and cost savings. Company A and Company B have been carrying on the same trading activities and there is genuine need for an amalgamation to achieve operational efficiency. In the absence of any deliberate arrangement to obtain tax benefit, the CIR's satisfaction condition is satisfied.

Post entry condition

In respect of the pre-amalgamation loss of an amalgamating company, only qualifying loss can be used to set off against the assessable profits of the amalgamated company.

Both Company A and Company B became wholly owned subsidiaries of Company H and entered into a qualifying relationship on 1 April 2022. Losses of HK\$1,300,000 (HK\$500,000 + HK\$800,000) incurred by Company A before 1 April 2022 cannot be used to set off against the assessable profits of Company B. Losses of HK\$1,600,000 (HK\$1,000,000 + HK\$600,000) were incurred after Company A and Company B have formed a qualifying relationship. As such, HK\$1,600,000 was a qualifying loss within the meaning of s.24(6) of Schedule 17J and could be used to set off against assessable profits of Company B.

* * * END OF EXAMINATION PAPER * * *